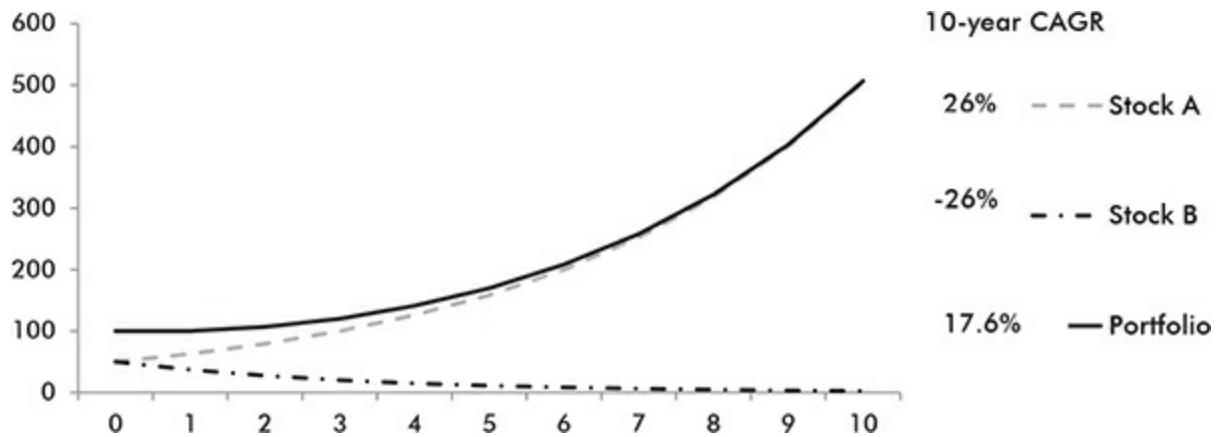


Exhibit 16: A hypothetical portfolio with 50 per cent strike rate and symmetry around positive and negative returns



Source: Ambit Capital

Neutralizing the negatives of ‘noise’: Investing and holding for the long term is the most effective way of killing the ‘noise’ that interferes with investment decisions. Often, deep-rooted psychological issues outweigh this commonsensical advice. It is easy to say we should ignore noise in the market but quite another thing to master the psychological effects of that noise. What investors need is a process that allows them to reduce the noise, which then makes it easier to make rational decisions. As an example, we highlight how, over the long term, Page’s stock price has withstood short-term disappointments to eventually compound at an impressive 45 per cent CAGR since March 2007 to June 2017 (see the exhibit below).